Bayline Property Partners

Retail lease draft

SITE-002 | Nob Hill / Polk Gulch

1800 block of Polk St, San Francisco, CA 94109

1. Premises and proposed use

The premises contain 1,940 rentable square feet. The proposed tenant is Charlie's Coffee, LLC, for a coffee shop selling beverages, pastries and retail coffee. Delivery and the opening date are subject to agreement and receipt of required permits.

2. Term and base rent

Initial term	60 months (5 years) from possession
Monthly base rent, year 1	$9,509.15
Annual base-rent increase	3% on each anniversary of possession
Refundable security deposit	$19,018.30 (two months of initial base rent)

3. Building expenses

This is a net lease. In addition to base rent, the tenant pays building operating expenses, property taxes and the landlord's building insurance. The first-year estimate for this premises is **$0.95 per rentable square foot per month**, or **$1,843.00 per month**. This amount is already the tenant's allocated share; do not apply another percentage to it. Monthly payments are reconciled against actual costs annually. The estimate is for budgeting and is not a guaranteed maximum. Tenant-paid expenses in section 4 are separate.

Continued: tenant responsibilities and renewal

4. Tenant responsibilities

The tenant separately pays utilities, cleaning, business insurance and routine interior maintenance. Amounts are not supplied in this proposal. The tenant arranges its own fixtures and equipment; no fit-out allowance or free-rent period is offered. The landlord delivers the premises with the roof and basic building services in working order.

5. Renewal and flexibility

The initial commitment is 60 months. The tenant has one option to renew for three additional years at the then fair market rent, to be agreed with the landlord. The renewal rent is not fixed in this draft. Give written notice at least six months before expiry. Early termination requires a separate agreement; assignment or subletting requires landlord consent.

6. Deposit and payment

Base rent and estimated building charges, where applicable, are due monthly. The security deposit is refundable subject to unpaid obligations and damage. It is held as security, not a recurring monthly charge. No personal guaranty is requested in this proposal.

7. Status of this document

These are proposed terms for discussion. Neither party is bound until a final lease is signed. The proposed commencement date, permitted works and outstanding approvals must be confirmed before signing.

For discussion with Charlie's Coffee, LLC

Landlord / broker: _____ Tenant: _____